



Australian
Competition &
Consumer
Commission

28 November 2007

Statement of Issues — A&R Whitcoulls Group Holdings Pty Limited (Angus & Robertson) - proposed acquisition of Borders Australia Pty Limited

1. Outlined below is the Statement of Issues released by the Australian Competition and Consumer Commission (**ACCC**) in relation to the proposed acquisition of Borders Australia Pty Limited (Borders) by A&R Whitcoulls Group Holdings Pty Limited (Angus & Robertson) (**proposed acquisition**).
2. A Statement of Issues published by the ACCC is not a final decision about a proposed acquisition, but provides the ACCC's preliminary views, drawing attention to particular issues of varying degrees of competition concern, as well as identifying the lines of further inquiry that the ACCC wishes to undertake.
3. In line with the ACCC's *Merger Review Process Guidelines* (available on the ACCC's website at www.accc.gov.au) the ACCC has established a secondary timeline for further consideration of the issues. The ACCC anticipates completing further market inquiries by Wednesday, 5 December 2007 and anticipates making a final decision on Wednesday, 19 December 2007. However, the anticipated timeline can change in line with the *Merger Review Process Guidelines*. To keep abreast of possible changes in relation to timing and to find relevant documents, market participants should visit the Mergers Register on the ACCC's website at www.accc.gov.au/mergersregister.
4. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions.

Background

5. On 8 October 2007, the ACCC commenced its informal review of the proposed acquisition in response to Angus & Robertson's request for informal review.

The parties

A&R Whitcoulls Group Holdings Pty Limited (Angus & Robertson)

6. Angus & Robertson operates 182 book stores across Australia, including 119 company-owned stores and 63 franchise stores. Angus & Robertson is owned jointly by Pacific Equity Partners (a private equity firm) and Angus & Robertson's current management.
7. Angus & Robertson's primary business is the retail sale of fiction and non-fiction books. Angus & Robertson also retails a small amount of stationery, DVDs and videos, newspapers and magazines. It also has an on-line book store.

Borders Australia Pty Limited (Borders)

8. Borders is owned by its US parent company, Borders Group, Inc. Borders entered Australia in 1998. There are currently 22 Borders stores across Australia.
9. Borders' primary business is the retail sale of fiction and non-fiction books. Borders also retails DVDs and videos, CDs, magazines and stationery. Borders stores typically also contain a café.

The transaction

10. On 23 March 2007, the US parent company of Borders, Borders Group, Inc., announced the planned sale of Borders' Australian arm via a competitive sale process.
11. Angus & Robertson has submitted a bid to acquire Borders' entire business in Australia.

Glossary of terms used

12. *Back-list*: around twelve months after release, a book is placed on the back-list if it remains in print. Back-list books are often not as readily available as front-list books
13. *Department stores*: Myer, David Jones. The department stores stock a limited range of key titles, but are not as price competitive as DDS chains, other than on their top 10 titles.
14. *Discount department stores / chains (DDS)*: Big W, Kmart, Target. DDS chains focus on marketing a limited range of low priced, popular books (key titles) and do not rely on range or service as their competitive strengths. This differentiates them from the specialist book chains. New release titles comprise a significant proportion of book sales by DDS chains.
15. *Front-list*: newly released books.
16. *Key titles*: popular titles with broad appeal. Tend to be 'best sellers' or new releases by well known authors. Key titles are regarded as 'must-have' titles by book retailers.

17. *Range (or non-key) titles:* titles that are not, or are unlikely to be, best-sellers. Range titles include books by less well known authors and most backlist titles. Specialist book stores generally offer a more comprehensive range of range titles than department and discount department stores.

Market inquiries

18. On 12 October 2007, the ACCC commenced market inquiries regarding the proposed acquisition. A range of interested parties provided responses, including other book retailers, publishers and industry associations.
19. The ACCC is now calling for certain further information from interested parties, as set out below.

Market definition

20. The ACCC's inquiries have led it to examine the transaction in the context of:
 - (i) the national markets for the acquisition of books by retailers (i.e. the wholesale market), and
 - (ii) a series of local markets for the retail sale of books to consumers.
21. Consumer preferences and travel patterns indicate that competition in the retail market takes place at a local level. However, the nature of the merger parties (both operate nationally, with many pricing, promotional, and range decisions made on a national basis) means that some of the possible adverse impacts on competition would occur across the merged entity's entire store network rather than being restricted to specific local markets.

Statement of issues

22. For the purposes of this Statement of Issues, the issues are divided into three categories: 'issues likely to raise concerns', 'issues that may raise concerns' and 'issues unlikely to raise concerns'.

Issues likely to raise concerns

Potential for a reduction in store-wide discounts or customer loyalty programs

23. While new release 'frontlist' books are often sold at a discount to RRP, the ACCC's inquiries indicate that, with the exception of remainders, 'backlist' or 'range' books are generally not sold at a discount to RRP on an everyday basis.
24. Instead, ACCC inquiries indicate that the national book retailers tend to compete on price across their range via store-wide discount offers, loyalty programs and member newsletters.
25. Borders' discount and loyalty strategies are particularly innovative. Customers can subscribe to a weekly email newsletter ('Borders shortlist') which contains two discount coupons across product categories. Borders also has a '3 for 2'

promotional offer whereby three books (from a limited range) can be purchased for the price of two.

26. Angus & Robertson, Borders and Dymocks are the only three national book chains (i.e. nationwide chains which stock a wide range of book titles, including both 'key titles' and 'range titles', complemented by expert customer service). The ACCC notes that the national chain bookstores are each other's closest competitive constraint in terms of these store-wide discount and loyalty offers.
27. The ACCC's inquiries indicate that, with a few exceptions, smaller bookstore chains and independent book retailers tend to focus on service and/or specialty titles rather than price. Very few independent retailers offer loyalty programs, and they do not commonly offer store-wide discounting.
28. Department and discount department stores do not offer loyalty rewards (other than the generic Fly Buys scheme). Market inquiries indicated these stores offer much smaller ranges than specialty bookstores, focusing mainly on key titles and new releases. Therefore, although discount department stores do, at times, offer store-wide discounts and special promotions, their limited book range means that customers cannot use these offers to secure discounts on range titles.
29. Therefore the loyalty programs and discount offers by the major chains are the major avenue for consumers to purchase 'range' titles at a discounted price. The ACCC is concerned that the removal of the competitive tension between Borders and Angus & Robertson may reduce the size and/or prevalence of these discounts and promotions, leading to higher overall prices paid by consumers.
30. The ACCC invites further information and comments about whether a combined Angus & Robertson/ Borders would have the ability and incentive to reduce discounting and promotional offers post-acquisition. In particular, the ACCC is seeking further comment on:
 - A. Are loyalty programs / member newsletters important as a form of competition amongst book retailers?
 - Do you have any consumer research, statistics, or relevant examples in relation to the above?
 - B. How do Angus & Robertson, Borders and Dymocks currently compete in this regard?
 - Please provide details of their loyalty programs, member newsletters, catalogue activity and store wide discounts.
 - C. Do other retailers offer loyalty programs or similar promotions? If yes, please provide details.
 - D. Do you consider that the merged firm will have an incentive to change the nature of the Angus & Robertson or Borders loyalty programs? Why or why not?
 - E. In what way, if any, do you consider that consumers would be adversely affected by any move to standardise the loyalty programs across the two chains?

Increased prices on range titles

31. The proposed acquisition will reduce the number of separately owned national book chains from three to two.
32. Although discount department stores offer very competitive prices on the books they sell, as noted above they tend to offer much smaller ranges compared to specialty bookstores, focusing mainly on key titles and new releases. Discount department stores would therefore generally not constrain the merged entity's pricing outside 'best sellers'.
33. Market inquiries have also suggested that consumers are less price sensitive (and less price aware) with range titles than they are with key titles. Range titles are generally not advertised, making it difficult for consumers to compare prices across book stores.
34. Market inquiries indicated that Angus & Robertson currently sells some books, particularly range titles, above recommended retail price. The majority of books in Australia do not have the recommended retail price printed on them.
35. The ACCC is concerned that, post-acquisition, the removal of one of the key competitors on range titles will give Angus & Robertson the ability and incentive to increase the national prices of range titles above recommended retail price across the merged entity.
36. The ACCC invites further information and comments about whether a combined Angus & Robertson/ Borders is likely to be able to profitably increase prices for range titles by a small but significant amount without losing significant sales share to competitors.

In particular, the ACCC is seeking further comment on:

A. Current level of price competition

- Is there a price leader with respect to range titles?
- How would you describe the level of price competition in Australia for these titles?
- If you are a retailer, how do you determine prices for these titles?

B. Possible effect of the acquisition on prices

- Do you consider the acquisition will place the merged entity in a position where it can increase prices on range titles?
- Will other retailers, including Dymocks, Collins, QBD and independent stores, constrain the merged entity from increasing prices? Why or why not?
- Do you think internet sellers (in particular Amazon) will prevent price increases by the merged entity? Why or why not?

Issues that may raise concerns

Increased negotiating power in the acquisition of books

37. Market inquiries indicated that the merged entity will, on average, constitute over 25% of a typical Australian publisher's or distributor's sales. This is about twice the size of the next largest acquirer of books, Dymocks. Many publishers considered that a retailer of this size would have the ability to "make or break" a title, depending on whether the merged entity stocks it or not.
38. Market inquiries indicated that the acquisition would improve Angus & Robertson's negotiating power with its suppliers.
39. Publishers submitted that, apart from a few blockbuster titles, book sales are heavily dependent on in-store purchasing decisions by consumers. Therefore, the number of stores choosing to sell a particular title, as well as the in-store placement and promotion of that title, will generally be an important determinant of its success.
40. Publishers also indicated that, because the acquisition will significantly increase Angus & Robertson's share of retail sales, post-acquisition it will be more costly for them to 'walk away' from a deal with Angus & Robertson. They therefore considered the acquisition would allow Angus & Robertson to decrease the price it pays for books or demand other improvements to terms of trade such as increased promotional support.
41. The ACCC seeks further information about how any such outcome may impact on the decisions of Australian publishers, particularly decisions about the number and nature of new titles published, and any impact on their long term viability.
42. The ACCC will also investigate concerns raised by other retailers that Angus & Robertson's increased negotiating power will allow it to demand exclusive access to certain new titles or pre-release 'windows' for some new titles.
43. The ACCC invites information and comments from publishers, retailers and other interested parties regarding these issues, including:
 - A. Information about consumer buying behaviour including influences on consumer purchasing and title selection. In particular, the ACCC is seeking more information on the extent to which consumers seek out particular titles (based on publicity, word of mouth, book reviews etc.) as opposed to making their purchasing decision in-store. Information that would be particularly relevant includes:
 - consumer research surveys prepared for publishers or retailers;
 - information/data regarding market penetration of particular titles — for example, estimates of the proportion of new titles that achieve significant market penetration (stocked by all retailers including independents, discount department stores, i.e., Big W, Kmart and Target, and the major book store chains); and

- the distribution of sales across titles — for example, what percentage of sales in the market at any given time are accounted for by a few ‘key titles’.
- B. Information from publishers and distributors about what options they would have in the event that Angus & Robertson were to request lower wholesale prices (or other improvements to its terms of trade, including increased promotional support) currently, and how this would change post-acquisition (if at all). In particular, to what extent could publishers/distributors
- increase sales through other channels, including through other retailers, direct sales to consumers or online;
 - engage in independent promotion of titles to increase demand from consumers and therefore retailers for their titles; and/or
 - bundle their ‘key titles with other titles to improve their bargaining position against retailers?
- C. Information from publishers about their likely longer-term response should wholesale prices paid by the merged entity decrease post-acquisition.
- Would this be likely to have any bearing on the nature or number of titles published in Australia?
 - Are publishers likely to try to recover margin through negotiating more favourable terms of trade with other retailers and/or increasing the recommended retail price (RRP) of books?
- D. Information from publishers and distributors, retailers and other interested parties regarding the likelihood of Angus and Robertson being able to secure more exclusive or pre-release titles post-acquisition.
- What type of titles — for example, ‘key’ titles or range titles, frontlist titles or backlist titles — would be more likely to be provided to retailers on an exclusive or pre-release basis?
 - What are the costs and benefits from a publisher’s perspective from providing the merged entity with exclusive or pre-release access to a particular title?

The loss of innovation and non-price competition in the retail of books

44. The ACCC’s market inquiries indicated that Borders is an innovative competitor in Australian book retailing, including in relation to non-price factors such as its range of books, store layout, and extended opening hours.
45. Borders’ consumer offering is unique in Australia. Being large format stores, Borders offers the most comprehensive range of books in Australia and covers all genres. Borders stores encourage lengthy shopping trips and browsing, and are often located in or near the entertainment precinct of shopping centres, with

extended trading hours. The in-store cafes are a key component of the Borders strategy, adding to the unique consumer experience.

46. The proposed acquisition is likely to remove Borders as a separately owned vigorous and effective competitor to Angus & Robertson, and this may lead to reduced innovation in book retailing.
47. The ACCC invites information and comments regarding these issues, including:
 - A. What impact has Borders' entry had on the Australian book retailing industry?
 - Are consumers able to purchase a greater variety of titles? If yes, please be as specific as possible in describing this change.
 - Have you seen evidence of price wars and/or decreased prices?
 - Please give specific examples of Borders' innovative approach to retailing.
 - B. Do you consider Borders is a 'leader'? In what ways?
 - C. Do you consider that the level of innovation by Borders would be reduced if it were acquired by Angus & Robertson? Why or why not?
 - D. Would you describe Borders as successful in Australia? Why or why not?
 - E. How have competitors responded to Borders' entry? (Note that this question is seeking information on national rather than local responses from competitors).
 - For example, have retailers reduced their prices, improved their loyalty programs, increased discounting or promotions, increased their range, improved their store layout or fittings?
 - Please give specific examples.
 - F. Are there other competitors who may be able to expand their operations or re-position themselves to better compete with the merged firm on a national scale?
 - What sunk costs would be involved in this? (Sunk costs are costs that cannot be recovered on exit / if entry fails, for example marketing and product research.)
 - Could retailers such as Collins, QBD, or any others expand their operations to better compete nationally?
 - What factors may inhibit this?
 - G. Could the discount department stores (Big W, Kmart and Target) or the department stores (David Jones and Myer) increase their ranges to compete more effectively across a broader range of titles? Why or why not?

Removal of Borders as a significant competitor in local markets

48. Angus & Robertson and Borders operate stores in the same shopping centre/strip or central business district (CBD) area in 17 local markets in Australia.
49. The ACCC's market inquiries indicated that Angus & Robertson and Borders stores compete particularly strongly where they are located near each other. Market inquiries also indicated that other competitors in those local areas do not competitively constrain Angus & Robertson as effectively as Borders does.
50. The proposed acquisition will remove the incentive for competition between Angus & Robertson and Borders in the 17 local markets where both have stores. The ACCC has concerns that unless they are strongly competitively constrained by other retailers, this may lead to reduced discounting and promotional activity (and higher overall prices), as well as reduced competition on range, service and other non-price factors.
51. The ACCC also has concerns that the proposed acquisition will reduce *potential* competition in local markets where Borders would have entered and competed vigorously with Angus & Robertson (or vice versa) if the acquisition did not proceed.
52. The ACCC invites information and comments, particularly from retailers, regarding these issues, including:
 - A. Do book sellers mainly compete (in their prices, discounts, range or other factors) with other retailers in the same shopping centre, or in a wider area?
 - B. What was the effect on other local book retailers when Borders opened a store nearby?
 - Please give specific examples and any supporting information, if available (e.g. the impact on sales or profits, including if there was no impact; the respective locations of Borders and the other retailer).
 - C. How did other book retailers, including Angus & Robertson, respond to Borders opening a store in their local area?
 - For example, did book sellers reduce their prices, increase discounting or promotions, increase their range, improve their store layout or fittings, exit the market, or was there no change at all? Please give specific examples.
 - D. Please describe the process for opening a book store in a local area, either as an independent store or as part of a chain.
 - Please include details of the costs (e.g. rent, stock, advertising, IT and supply systems, store fit-out), planning and time involved, as well as any difficulties that may be encountered.
 - If the store were unsuccessful and closed down, which costs would be sunk and which could be recovered?

- E. Would you consider opening a store in a local area where there is currently a Borders store? Please explain why or why not.
- What factors would you take into account in making this decision?
 - Would this change if Angus & Robertson acquired Borders?
- F. Please describe any difficulties faced by a book seller in leasing a site in a shopping centre?
- For example, is there any limit on the number of book sellers in each centre? Are landlords only interested in national chains/established brands?

Issues that are unlikely to raise concerns

53. Angus & Robertson and Borders both also retail a selection of DVDs, CDs, magazines and stationery.
54. However, market inquiries indicated that Angus & Robertson and Borders each have relatively small sales shares in these products and a significant number of competitors will remain post-acquisition.
55. The ACCC considers that the proposed acquisition is unlikely to raise concerns in relation to these products.

ACCC's future steps

56. The ACCC will finalise its view on this matter after it considers market responses invited by this Statement of Issues.
57. The ACCC now seeks submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter.
58. Submissions are to be received by the ACCC at mergers@acc.gov.au (with the subject title "Submission re Angus & Robertson – Borders proposed acquisition") no later than **Wednesday, 5 December 2007**. Alternatively, please fax your response to (02) 6243 1212 or send by mail to Mergers Branch, ACCC, GPO Box 3131, Canberra ACT 2601.
59. If the information you are providing to the ACCC is of a confidential nature, please indicate this and clearly, noting which parts of your submission are confidential. The confidential information in your submission, and the fact that you have made a submission, will be treated confidentially. That is, the ACCC will not disclose confidential information to the merger parties or any other party without first obtaining your written consent or unless required to do so by law.
60. The ACCC will consider the submissions received from interested parties and the merger parties in light of the issues identified above and will, in conjunction with information and submissions already provided by the parties, come to a final

view as to the appropriate course of action to take to resolve any competition concerns that remain.

61. The ACCC intends to publicly announce its final view by Wednesday 19 December 2007. However the anticipated timeline may change in line with the *Merger Review Process Guidelines*. A public Competition Assessment for the purpose of explaining the ACCC's final view may be published following the ACCC's public announcement.